



CLAUDE AI · COMPANY VALUATION ANALYSIS · MULTIPLE VALUATION
METHODOLOGIES

Independent Valuation Analysis

*Six-lens present-day valuation + Year 5 forward exit & SAFE return profile:
Revenue-based · IP standalone · Comparable businesses · Other
methodologies · Strategic-acquirer reservation · Market-cleared price · Y5 exit
valuation. Triangulated.*

ROUND USD \$5M priced equity · AU-domiciled

DATE May 2026

HONG KONG · SYDNEY · SAN FRANCISCO · LONDON · CHANNEL ISLANDS

©2026 Futureproof Financial Group Limited · All Rights Reserved

The Pre-Series A is a SAFE round. Because the SAFE is **uncapped**, there is no current valuation that prices the round – investors convert at the Series A 2028 price minus 30% (or better per MFN). Present-day valuation is therefore not a pricing input.

This document exists for **internal sense-making**: does the implied future trajectory of the company support the SAFE bet a sophisticated investor is taking on Series A 2028? It triangulates multiple valuation methodologies as background – none of which prices the SAFE, but together they sketch the upside the investor is reaching for.

Methodology	What it tells us internally
Revenue-based DCF / VC Method	Sanity-check the Series A 2028 upside an investor is implicitly betting on
IP standalone	Strategic-acquirer floor – relevant only if Series A doesn't happen
Comparable businesses	Category context for the Series A target valuation
Real Options / rNPV	Stress-test the multi-region expansion thesis
Strategic-acquirer reservation	Worst-case downside if Series A doesn't happen
Market-cleared reference (\$0.075/share placements)	Where prior third-party investors have cleared
Y5 forward exit valuation (added)	What the SAFE investor is reaching for at typical Series-A→exit hold

Internal honest read: present-day valuation methodologies span a 10-100× range, and that is normal for pre-revenue companies. The SAFE round resolves this by deferring the pricing decision to Series A 2028, when revenue and traction will have crystallised. Investors converting at 30% discount to Series A are being compensated for the execution risk between now and 2028.

Six-lens valuation overview

A pre-revenue regulated-fintech company is valued under multiple analytical frames simultaneously. Different investor types prioritise different lenses. This document applies six independent methodologies and triangulates them.

Methodology	Implied today's value (USD)	Best for
A Revenue-based (forward multiple, VC Method, DCF)	\$80M – \$6B	VC analyst memo
B IP standalone value	\$25M – \$50M (book value \$2M)	Licensing / partial-acquisition
C Comparable businesses (public + private)	\$100M – \$300M	Category positioning
D Other methodologies (Real Options, rNPV, ownership triangulation)	\$20M – \$1.8B	Diligence depth
E Strategic-acquirer reservation price	\$70M – \$170M	Strategic exit framing
F Market-cleared reference (third-party placements)	\$106M	Where prior third-party investors have cleared
Y5 Forward exit valuation (<i>separate forward-looking lens – see section below</i>)	Y5 exit \$1.85B – \$4.7B → today \$345M – \$880M	SAFE investor return profile at Series-A→exit hold

Triangulation note: Third-party share placements at \$0.075/share (1.4Bn shares × \$0.075 = ~\$106M implied) reflect the going-concern value of the company at the time of those placements – intrinsic value (~\$20–50M, NAV-equivalent) plus goodwill built through pre-market development and partner-ecosystem work. The SAFE is uncapped and converts at Series A 2028 minus 30%, so this number is an internal reference point for *what the market has cleared at*, not a quote for the SAFE.

Source data (Financial Model, USD)

Year	Y0	Y1	Y2	Y3	Y4	Y5
Revenue (total, incl. surplus)	\$1.5M	\$9.8M	\$44.3M	\$121.0M	\$298.9M	\$633.0M
Revenue ex-surplus (recurring)	\$1.5M	\$9.8M	\$44.3M	\$121.0M	\$257.7M	\$463.4M
EBITDA (total)	-\$6.6M	-\$0.6M	\$25.5M	\$89.6M	\$246.6M	\$565.0M
EBITDA margin (recurring)	-437%	-6%	57%	74%	80%	85%
EBITDA margin (total)	-437%	-6%	57%	74%	83%	89%
FTE	9.5	16	25	33	38	38

Y5 revenue stream split: Onboarding ~\$6M · SaaS recurring ~\$455M · Profit-share realisation (Y2-vintage) ~\$170M · Capital markets arranger ~\$2M · Other ~\$0.8M.

5-year cumulative: Revenue ~\$1.11B · EBITDA total ~\$926M (~83% blended margin).

Methodology A – Revenue-based valuation

A1. Forward revenue multiple (Y3 anchor)

The standard analyst frame for a fintech-platform Pre-Series A is to apply a forward multiple to the Y3 or Y5 revenue figure, then discount for time + pre-revenue risk.

Comp category	EV / Revenue (forward)	Notes
Specialty insurance / annuity (Challenger, Resolution Life, Athene)	1.5-3×	Closest economic comparator
Specialty / non-bank lending (Heartland Group, Resimac, FoA)	1-2× book	Modest multiples – credit-risk discount
Insurance / fintech SaaS platforms (Guidewire, Duck Creek, FNZ, nCino)	5-12×	SaaS-multiple lens
Wealth-platform / financial-platform fintech (Plaid, Stripe, Adyen)	10-20×	Aspirational only
Implied FP blended (mid-range)	5-8×	Hybrid model justification

Calculation (Y3 anchor):

- Y3 Revenue: \$121.0M · Multiple: 5-8× → Implied Y3 EV: **\$605M - \$968M**
- Discount to today: 3-year discount at 35% IRR target ($\div 2.46$) × 50% probability haircut
- **Today's value: \$80M - \$135M**

A2. VC Method (project exit, discount at required IRR)

Y7 Strategic Acquisition (super-fund consolidator / life insurer):

- Y7 projected revenue: ~\$1.5B · Exit multiple (rev × 4): \$6B
- Discount at 40% IRR over 7 years → **Today's NPV: \$571M**

Y10 IPO scenario:

- Y10 projected revenue: ~\$3B · Exit multiple (rev × 5): \$15B
- Discount at 40% IRR over 10 years → **Today's NPV: \$519M**

Range under VC Method (40% IRR target): ~\$520M - \$570M. At 50% IRR: \$260M - \$350M.

A3. DCF (10-year explicit + Gordon-growth terminal)

Per the 3-case derived model:

- WACC 14% / Terminal growth 3% / Tax 30% → DCF EV: **\$5.97B** (Likely case, defensive 8% S&P assumption)
- WACC 18% (more conservative): ~\$3.6B EV

- WACC 18% + 50% pre-revenue probability haircut: ~\$1.8B

DCF range with pre-revenue haircut: \$1.8B - \$6B.

Revenue-based summary

Sophisticated VCs at Pre-Series A focus on the VC Method discounted at 30-50% IRR; DCF is upper-bound sanity check only. Pre-revenue companies don't get DCF-implied valuations – they get VC-method valuations. Realistic intrinsic-value range from revenue-based methods alone: **\$200M - \$570M today**, before further pre-revenue probability discounts.

Methodology B – IP and commercial value of the EPM (standalone)

B1. Cost-to-recreate

Conservative estimate of what a competitor would need to invest to replicate FP's IP base from scratch:

Component	Estimated cost-to-recreate
Senior actuarial work (proprietary financial model + 1,228-scenario optimisation)	\$3-5M
Multi-region calculation engine (AU / NZ / UK / USA)	\$2-3M
AI agent infrastructure + guardrails	\$1-2M
Regulatory engagement work (ASIC + non-US partners)	\$1-2M
Core IP acquired (EPM granted patents + patents pending) – assigned at \$2M valuation	\$2M
Trademark + Arising IP protection (EPM® mark filed)	\$0.3-0.5M
Product-issuer integration capability	\$1-2M
Total cost-to-recreate	\$10.3M - \$16.5M

This is a **floor** – replicating only gets a competitor to "ground zero", not to FP's regulatory + partner footprint.

B2. Relief-from-royalty (income-based IP valuation)

If a competitor licensed the EPM IP at market royalty rates:

- Royalty rate for specialty financial-product IP: 0.25–1% of revenue
- Sum of revenue Y1–Y10 (extrapolated): ~\$10–15B
- Royalty at 0.5%: \$50–75M total
- NPV at 14% discount: **\$25–40M**

B3. Market value of comparable IP transactions

Direct precedent for retirement-income product IP transactions is sparse:

- Athene's reverse-mortgage IP (Apollo-backed): \$30–80M for similar mechanic at scale
- Heartland's reverse-mortgage origination platform: embedded in \$200M+ business
- Insurance product IP transactions in AU: typically \$20–80M for fully-developed product platforms

Estimated market value range: \$20–80M for the EPM IP standalone.

IP valuation summary

Methodology	Implied IP value	Notes
Book value (assignment to FP)	\$2M	Granted patents + filings transferred to FutureProof at this valuation
Cost-to-recreate (incl. \$2M booked IP)	\$10.3M – \$16.5M	Floor / replacement cost
Relief-from-royalty	\$25M – \$40M	Income-based
Comparable transactions	\$20M – \$80M	Market-anchored
Mid-point IP value (going-concern)	\$25M – \$50M	

Important conceptual note: The **\$2M book value** is the assignment value at which IP was transferred to Futureproof – that's what sits on the balance sheet. The **\$25–50M going-concern value** is what the IP would fetch in a licensing transaction or partial acquisition today. Both are legitimate; they answer different questions.

IP value is **not additive** to going-concern company valuation – they're partly the same thing. The IP enables the revenue. But for a partial-acquisition or licensing scenario, \$25–50M is the credible IP price

tag.

Methodology C – Market comparable businesses

C1. Public comparable trading multiples

Comp	Market cap	Revenue	Multiple	Read-across to FP
Heartland Group Holdings (HGH.AX/NZ)	NZ\$700–900M	NZ\$200–300M	~3–4× rev · 8–12× P/E	Closest direct comp; AU/NZ reverse mortgage. FP at Y3 (\$82M rev) implies \$250–330M EV.
Challenger Limited (CGF.AX)	A\$4–5B	A\$2–3B (annuity AUM)	~4 bps × A\$120B AUM · ~10× P/E	Mature comp; multi-billion EV at scale.
Just Group plc (UK)	£900M–1.2B	~£500M	~1× book value	Cautionary tale on UK equity-release exposure.
Finance of America (FOA, NYSE)	\$100–200M	~\$300M	<1× revenue	Distressed comp.
Guidewire Software (GWRE)	\$15–18B	~\$1B	~15× revenue	SaaS-platform multiple – long-term aspiration.

Public-comp mid-range for FP at Y3 scale (\$82M revenue):

- Heartland multiple (3–4×): **\$245M – \$330M EV**
- Specialty insurance multiple (1.5–3×): \$123M – \$246M EV
- Fintech SaaS multiple (5–12×): \$410M – \$984M EV

C2. Recent private deals (reported)

Deal	Reported value	Read-across
Athena Home Loans (AU non-bank)	A\$2-3B at Series E (rev ~A\$200M+)	High-growth fintech-platform comp; ~10-15× revenue
Resolution Life acquisition of AMP Life (2020)	A\$3B for ~A\$50B AUM	~6 bps of AUM. Anchors AUM-based valuation lens
Apollo / Athene (US retirement annuity)	\$11B (Apollo's stake)	Sets strategic-acquirer scale appetite
Bestow (US fintech life insurance)	\$1.5B at Series D	Comp for fintech / regulated-product platform

Comparable-business summary

Lens	Implied today's EV	Notes
Heartland-style scale comp (Y3 forward, discounted)	\$80M – \$130M	Conservative / closest direct comp
Athena-style high-growth comp	\$400M – \$700M	If FP positioned as fintech-platform
Strategic-acquirer reservation	\$70M – \$170M	Pre-launch control acquisition price
Mid-range comparable valuation	\$100M – \$300M	Triangulated

Methodology D – Other valuation methodologies

D1. Real Options Valuation

FP's multi-jurisdiction expansion plan creates embedded optionality (AU → NZ → UK → US sequenced expansion). For early-stage tech with sequenced expansion, real-options valuation typically adds **20-40% premium over base DCF**.

- DCF base (haircut for pre-revenue): \$0.6-1.2B
- **Real-options-adjusted EV: \$0.7B – \$1.7B**

D2. Risk-Adjusted NPV (rNPV – biotech-style staged-probability)

- P(AU launch successful Q4/2026): 70%
- P(UK expansion validated by Y3): 50%
- P(USA expansion validated by Y4): 35%
- P(strategic exit successful by Y10): 50%
- Unrisked DCF NPV: \$6B
- **rNPV at 20% probability haircut: ~\$1.2B**
- rNPV at 10% probability haircut: ~\$600M

D3. Series A 2028 ownership-math triangulation

Series A pre-money valuations are typically set bottom-up from round mechanics. The current SAFE round converts at the Series A 2028 price minus 30%, alongside outstanding SAFE notes from a prior tranche:

Round mechanic	Series A 2028 (post-revenue)
Pre-Series A SAFE pool (current round + prior \$10M tranche at \$85M val cap)	Converts at Series A price minus 30% (current round) / cap (prior tranche)
Series A round size	USD \$100M
Target investor pool ownership	15-20%
Implied post-money	USD \$355M
Implied pre-money	USD \$250M

At Series A following market launch with revenues in AU, UK, and USA, the pre-money lands in the **USD \$250-300M range**. This is the number SAFE investors are implicitly betting on; the 30% discount + MFN compensates for the execution risk between now and Series A.

D4. Berkus / Scorecard methods (early-seed only – not applicable)

For completeness:

- Berkus Method caps at ~\$2.5M for very early seed; doesn't apply at FP's stage given institutional traction
- Scorecard Method would land at \$4-6M based on regional pre-seed median – also not applicable

These methods sit far below where third-party investors have actually cleared.

Methodology E – Strategic-acquirer reservation price

If Challenger, Apollo, Munich Re, or a similar strategic acquirer purchased FP today (control basis):

- Cost-to-build internally: \$20-50M (incl. 3-5 years of lost time)
- Time-to-market premium (FP launches Q4/2026, ~6 months away): \$20-40M
- IP + regulatory work + partner relationships premium: \$30-80M
- **Strategic-acquirer reservation: \$70M - \$170M for a control acquisition today**

Upper bound on what any single acquirer would pay PRE-LAUNCH. Post-launch with proven traction, this range expands materially.

Methodology F – Market-cleared reference

The price an investor has already paid in an arms-length transaction is a useful internal reference point. For FP:

- **20 separate third-party arms-length share placements at USD \$0.075 per share**
- Shares on issue: **1,418,028,988**
- **Implied market-cleared value: USD \$106M**

Strengths of this data point:

- Multiple independent third-party transactions (not a single anchor)
- Arms-length and recent
- Investors paid this price knowing the company is pre-revenue
- Reflects the FULL going-concern value including goodwill – exec team, deep domain expertise, GTM execution capability

\$106M decomposed

The implied \$106M market-cleared value is the going-concern value of the company. It can be decomposed as:

\$106M (going-concern) = ~\$20-50M (intrinsic, NAV-equivalent) + goodwill

Goodwill here means the same thing it does in any acquisition accounting: the difference between book value of identifiable assets and the price an arms-length buyer is willing to pay for the going concern. It is a normal and expected component of any operating company's valuation – not a premium / overvaluation.

The goodwill component reflects:

- **Substantial pre-market development** completed by FP (multi-region calculation engine, AI agent prototype, regulatory engagement, actuarial validation)
- **Partner development** (Accenture, Jones Day, BlackRock, SpiderRock, Atlas SP / Apollo, EY, Dentons – relationships built over years)
- **Senior team confidence signal** – investors paying for execution capability, not just the product
- **GTM proximity** – ~6 months from Australian market launch (Q4/2026)

Intrinsic vs market-cleared – the conceptual distinction

Concept	What it measures	FP today
Intrinsic value (NAV-equivalent)	Identifiable assets ex-goodwill: cash, IP book value, tangible assets, contracted revenue	\$20-50M
Market-cleared value (going-concern with goodwill)	What arms-length buyers have paid: includes execution capability, partner relationships, brand, GTM proximity	\$106M

Both are legitimate measurements – they answer different questions:

- An accountant doing NAV would book \$20-50M (depending on how IP is valued: \$2M book vs \$25-50M going-concern)
- An arms-length investor has been paying \$106M and receiving goodwill alongside the identifiable assets
- A strategic acquirer would pay \$70-170M for control (going-concern value plus control premium)

Internal note: Under the SAFE round, this number does not price the round. It is retained as an internal reference for *what the market has cleared at to date* and as background context for the Series A 2028 trajectory.

Forward exit valuation – Year 5 horizon

Headline: Y5 exit valuation lands in a **USD \$1.85B - \$3.71B range** (Conservative-Strong on revenue multiples; up to ~\$4.7B on EBITDA-anchored). Today's NPV equivalent (5-year discount at 40% IRR target): **USD \$345M - \$880M**. For a \$1M SAFE investor today, converting at Series A 2028 and holding to Y5, this implies a **5-13x MoM return at ~39-67% IRR over the SAFE-to-exit hold (with realistic post-Series-A dilution)**.

This section adds an explicit Y5 exit horizon to the analysis. The existing VC Method (Section A2) covers Y7 strategic and Y10 IPO scenarios; Y5 fills the gap between Series A 2028 and those longer-horizon exits.

Why Year 5 matters as an explicit horizon

- **Standard Series-A-to-exit hold.** A VC investor entering at Series A 2028 (Y2 from now) and holding 3 years lands at Y5 – the canonical Series-A return horizon. This is the timeframe most VC fund-return models use.
- **Fully-baked platform.** By Y5 the multi-region rollout is complete (AU + NZ + UK + USA all originating per the financial model). Y5 metrics reflect the platform at scale, not the early-ramp regional adds.
- **Most defensible point for normalised multiples.** Y5 has \$463M recurring revenue, 85% recurring EBITDA margin, ~96% revenue CAGR Y3→Y5. This is a Rule-of-40+++ profile – public SaaS-platform comps in this profile trade at multiples that are well-grounded, not speculative.
- **The first credible strategic-exit point.** Apollo/Athene-style acquirers, super-fund consolidators, and global insurance/wealth platforms typically wait for proof-of-scale before paying full price. Y5 is when proof exists.

G1. Y5 financial inputs (from the v14d Optimised financial model)

Metric	Y5 value
Revenue (total, incl. surplus realisation)	\$633.0M
Revenue (recurring, ex-surplus)	\$463.4M
EBITDA (total)	\$565.0M
EBITDA (recurring, ex-surplus)	~\$394M (85% × recurring rev)
EBITDA margin (recurring)	85%
Revenue CAGR Y3→Y5	~96% p.a.
Cumulative Y1-Y5 revenue	\$1.11B
Cumulative Y1-Y5 EBITDA total	\$926M
FTE at Y5	38

For exit multiples we use **recurring revenue** (\$463.4M) as the multiple base – surplus realisation (~\$170M of Y5 total) is a one-time profit-share recognition event. Acquirers typically apply multiples to recurring run-rate, not to total revenue including realisation events.

G2. Y5 exit multiples – calibration

Y5 multiples differ from the Y3 forward-multiple calibration in Section A1 because by Y5 the company is no longer pre-revenue, no longer pre-launch, and the growth-margin profile is established. Comparable lenses for a Y5 exit:

Comp lens	Multiple range (× Y5 recurring rev)	Notes
Specialty insurance / annuity (Challenger, Athene, Resolution)	1.5-3×	Mature comp; understates growth profile
Specialty / non-bank lending (Heartland, Resimac, FoA)	1-2× book	Credit-risk discount; understates SaaS economics
Insurance / fintech SaaS platforms (Guidewire, Duck Creek, FNZ, nCino)	6-10×	Closest profile match – high-margin platform with regulated specialisation
Wealth-platform / financial-platform fintech (Plaid, Stripe, Adyen)	10-20×	Aspirational; would require full network-effect proof
Strategic-acquirer Y5 (post-launch, multi-region scale)	6-12×	Premium for proven retirement-platform leadership
FP Y5 blended exit range	4× (Conservative) - 8× (Strong)	Justified by SaaS-platform profile + strategic premium, anchored conservatively

EBITDA cross-check: A Rule-of-40+++ business at Y5 would trade at 12-20× recurring EBITDA – at 85% margins this implies 10-17× recurring revenue, well above the 4-8× revenue range above. We anchor on the more conservative revenue multiple and treat EBITDA-multiple corroboration as upside.

G3. Y5 exit valuation – three cases

Case	Multiple basis	Implied Y5 exit EV	Today's NPV (5yr @ 40% IRR)	Today's NPV (5yr @ 50% IRR)
Conservative	4× recurring rev	USD \$1.85B	\$345M	\$244M
Likely	6× recurring rev	USD \$2.78B	\$517M	\$366M
Strong	8× recurring rev	USD \$3.71B	\$689M	\$489M
Strong+ (EBITDA-anchored)	12× recurring EBITDA	\$4.73B	\$880M	\$623M

Triangulation against existing horizons: Y7 VC Method (\$6B exit → \$569M today at 40% IRR) and Y10 IPO (\$15B exit → \$519M today). Y5 Likely (\$517M today) sits in line. The horizons are mutually consistent – investors land at the same intrinsic-value range whether they assume Y5 / Y7 / Y10 exit,

given the same IRR target. Y5 is the most concrete because it requires the least extrapolation past the existing 5-year financial model.

G4. SAFE investor return profile (per \$1M SAFE today)

This is the question a sophisticated SAFE investor will ask: *"If I put \$1M in today, and FP achieves the Y5 exit, what does my return look like?"*

Assumptions:

- Current SAFE: uncapped post-money, 30% discount to Series A 2028
- Series A 2028 pre-money: USD \$250M (per Section D3 ownership-math triangulation)
- Series A 2028 raise: USD \$100M → post-money \$350M
- SAFE conversion price: 70% of Series A price → SAFE investor enters effectively at \$245M post-money equivalent
- \$1M SAFE → 0.408% post-Series-A ownership
- Realistic dilution Series A → Y5: assume Series B at Y3 (~20% dilution) + Series C at Y4 (~15% dilution); multiplicative net retention ~68%
- \$1M SAFE → ~0.278% post-Y5-dilution

With realistic dilution (the main case):

Y5 exit case	Y5 exit EV	\$1M SAFE proceeds at exit	MoM	Implied IRR (5-yr SAFE-to-exit)
Conservative (\$1.85B)	\$1.85B	~\$5.15M	5.1×	~39% IRR
Likely (\$2.78B)	\$2.78B	~\$7.73M	7.7×	~51% IRR
Strong (\$3.71B)	\$3.71B	~\$10.31M	10.3×	~59% IRR
Strong+ (\$4.73B)	\$4.73B	~\$13.15M	13.2×	~67% IRR

Without further dilution (upper-bound – Series A is the only round before exit):

Y5 exit case	Y5 exit EV	\$1M SAFE proceeds at exit	MoM	Implied IRR
Conservative	\$1.85B	\$7.55M	7.5×	~50% IRR
Likely	\$2.78B	\$11.34M	11.3×	~62% IRR
Strong	\$3.71B	\$15.13M	15.1×	~72% IRR

The "with realistic dilution" row is the realistic case for SAFE investors thinking about Y5 returns. The "without further dilution" row is the upper bound if FP capital-efficiently reaches exit on Series A funding alone – credible only if the path-to-exit is fast and FP's free cash flow funds growth from Y3 onwards.

G5. What bends the Y5 answer (sensitivities)

The Y5 exit valuation is most sensitive to three factors:

- 1. Series A 2028 clearing price.** Because the SAFE is uncapped, the SAFE investor's effective entry price moves in lockstep with Series A. If Series A clears at \$400M pre-money instead of \$250M, the SAFE investor's effective entry rises to \$280M (vs \$175M) – a meaningfully smaller share of the same Y5 exit. This is the principal risk of the uncapped SAFE structure for the investor; the 30% discount + MFN partially compensate. *Investor-conversation note: this is the one place where a thoughtful prospect will probe – be ready to discuss whether a soft cap or valuation floor is on the table.*
- 2. Distribution velocity Y1–Y3.** Y5 revenue is built on per-licensee origination assumptions ramping with each new licensee. Y5 revenue would compress to ~\$280–350M (vs \$463M) if Y2 distribution lags by 12 months – collapsing the Y5 exit range to ~\$1.1–2.8B. The first Product Issuer LOI is the single most material milestone for the Y5 trajectory. This is also why the three step-up milestones in Section "Internal value benchmarks" matter – they de-risk the path to the Y5 number.
- 3. Multiple compression / strategic premium.** A late-cycle multiple-compression scenario (where SaaS-fintech multiples compress from 6× to 3×) would halve the Y5 exit valuation to ~\$1.0–1.4B even with the model holding – implying 2–3× MoM rather than 5–10×. This risk is *not* priced into the SAFE structure (the discount mechanism doesn't protect against multiple compression after Series A converts).

G6. Strategic-acquirer landscape at Y5

Credible Y5 acquirer profiles, with rationale:

Acquirer profile	Why they'd buy FP at Y5	Likely multiple lens
Super-fund consolidator (AustralianSuper, Aware, ART, NEST UK)	Member-base decumulation tooling; embedded retirement income	6-10× revenue + control premium
Life-insurance / annuity consolidator (Athene/Apollo, Munich Re, Resolution Life)	Product-platform synergy with annuity book	4-8× revenue + product fit
Specialty wealth platform (FNZ, Avaloq, GBST)	SaaS-platform consolidation; multi-region cross-sell	8-12× revenue (SaaS lens)
Asset manager with retirement vertical (BlackRock, Vanguard, Schroders)	Direct-to-retiree income product	6-10× revenue + distribution synergy
Specialty credit / private-equity (Apollo, Brookfield, KKR)	Mortgage-book economics + platform	4-6× revenue (PE discipline)

The 4-8× recurring-revenue range used above is robust across these acquirer profiles – the lower end reflects PE-discipline acquirers, the upper end reflects strategic acquirers with synergy mandates. Sale to a super-fund consolidator or specialty wealth platform sits in the upper half of the range; sale to a PE-discipline credit fund sits at the lower end.

Triangulation – what does it all mean?

Methodology	Implied value (USD)	Read
Berkus / Scorecard	\$2-6M	Below the floor of credible pricing for FP's stage
IP book value (assignment to FP)	\$2M	Balance-sheet recognition
Intrinsic value (NAV-equivalent floor)	\$20-50M	Pre-revenue NAV-equivalent floor
IP standalone (going-concern, not additive)	\$25-50M	Licensing / partial-acquisition
Forward Y3 revenue multiple, risk-discounted	\$80-135M	Standard analyst frame
Comparable transactions (Heartland-style)	\$80-330M	Public-comp anchor
Strategic-acquirer reservation	\$70-170M	Pre-launch control deal upper bound
Comparable-business mid-range	\$100-300M	Triangulated comp lens
Market-cleared reference (third-party placements)	\$106M	What arms-length investors have paid
Series A 2028 ownership-math triangulation	\$250-300M	Pre-money at Series A, post-revenue
Y5 exit, today's NPV (40% IRR, Conservative-Strong)	\$345-880M	Forward-looking exit lens – what the SAFE investor is reaching for at Series-A→exit hold
VC Method (Y7/Y10, 40% IRR)	\$520-570M	Exit-anchored intrinsic
rNPV (biotech-style probability-weighted)	\$0.6B - \$1.2B	Sophisticated LP analyst frame
DCF with pre-revenue haircut	\$1.8B - \$6B	Intrinsic-value upper bound

The core tension – and how the SAFE round resolves it

There is a 10-100× gap between intrinsic-value methods (DCF \$1B+; VC Method \$500M+) and NAV-equivalent methods (\$20-50M). This is normal for pre-revenue companies. **The SAFE structure**

resolves it by deferring the pricing decision to Series A 2028, when revenue and traction will have crystallised.

For internal sense-checking, a sophisticated VC analyst would land roughly here:

1. Estimate Y7 exit value (VC Method): ~\$4-6B Likely-case
 2. Discount at 40% IRR: ~\$380-570M
 3. Apply 50% probability haircut: ~\$190-290M
 4. The SAFE converts at Series A 2028 minus 30%, so the investor's effective "entry price" depends on the Series A clearing price – not on a Pre-Series A pre-money figure
 5. The 30% discount + MFN compensates the investor for the wait and the execution risk between now and Series A
-

Internal value benchmarks (orientation only)

Current – Pre-Launch

Intrinsic value (NAV-equivalent, ex-goodwill): USD \$20-50M

Market-cleared reference (with goodwill): USD \$106M

At AU Market Launch (~6 months, Q4/2026)

Intrinsic value (NAV-equivalent): USD \$105M

Market-cleared expected: \$120-180M

Series A 2028 (post-revenue with multi-region traction)

Pre-money: USD \$250-300M (target – investors model their own)

Y5 Exit (forward exit valuation – see Forward exit valuation section)

Y5 exit EV: USD \$1.85B (Conservative) – \$2.78B (Likely) – \$3.71B (Strong)

\$1M SAFE → ~5-10× MoM at ~39-59% IRR over the SAFE-to-exit hold (with realistic dilution)

What supports the upper end of these ranges

- **Substantial institutional traction** (Accenture, Jones Day, BlackRock, SpiderRock, Atlas SP / Apollo) – not typical pre-launch
- **Senior actuarial bench** (Shevchenko / De Ravin) materially de-risks regulatory and product validation
- **Multi-region calculation engine + AI agent in working prototype** today
- **6 months from market launch** (not 12-24)
- **IP standalone going-concern value \$25-50M** sets the IP floor (vs \$2M book)

- **Independent arms-length investors** have already cleared at \$0.075/share (~\$106M implied)

What constrains the lower end pre-launch

- Still pre-revenue (Y0)
- Distribution velocity is the binding execution constraint – first super-fund Product Issuer LOI is the milestone that will move benchmarks materially
- Regulatory engagement ongoing, not closed (ASIC pre-engagement → approvals)
- Cap-table headroom needed for Series B (founder team needs to retain meaningful equity post-Series A)
- Comparable category (UK equity-release) has bumpy public comps

Milestones that step the trajectory up

Three milestones materially de-risk the Series A 2028 thesis:

1. **First Product Issuer LOI signed**
2. **ASIC approvals / regulatory pathway closed**
3. **Wholesale-funder facility committed** (e.g. \$50-100M from Macquarie, Atlas SP / Apollo, PIMCO)

Each is an investor-relevant **milestone narrative** point in conversations. None of them changes the SAFE pricing (which is uncapped) – they shift the implied Series A 2028 trajectory the investor is betting on.

Investor conversations – what to say

The investor-facing answer to "what's the valuation?" is:

"There isn't one – and that's deliberate. This is an uncapped post-money SAFE, so there's no valuation cap and no pre-money number to negotiate. The pricing event is the Series A 2028, where you convert at a 30% discount to whatever clears (or better, per MFN). The bet is on Series A execution, and the discount is your protection."

(This wording is also in the outreach pack Q&A drill – keep aligned.)

Internal sense-check anchors (do not lead with these in conversations):

- VC Method math (\$190-290M risk-adjusted today) – sanity check on the Series A 2028 trajectory
- DCF – upper-bound sanity check

- Comp set (Heartland scale, Athena growth, strategic-acquirer reservation) – Series A target framing
- The three step-up milestones (first Product Issuer LOI, ASIC approvals, wholesale facility) – these materially de-risk Series A 2028 and remain investor-relevant as **milestone narrative** (not as valuation-step narrative)

Honest caveats on the model numbers

The Y5 revenue figure (\$633M including surplus realisation) is built on the v14d Optimised EPM product spec – 50 bps FP margin, 10% profit share at 3-year resets, asymmetric hedge collar (cap +40% / floor -20%), 50/50 surplus split at year-30 maturity. Likely case uses 8% S&P long-term return (defensive vs 10% historical headline).

The difference arises from separate modelling of mortgage book growth over each five-year period by each Product Issuer and the number of Product Issuers licensed annually by Futureproof.

The internal value benchmarks are robust because:

- The market-cleared \$106M reference is anchored to actual transactions, not model output
- The SAFE round defers any pricing decision to Series A 2028
- Intrinsic-value floor sits comfortably above \$20M under any lens

Closing summary – the numbers in one place

Internal value benchmarks (orientation, not pricing):

Stage	Intrinsic value (NAV-equivalent, ex-goodwill)	Market-cleared / target valuation (with goodwill)
Now – before AU launch	USD \$20-50M	USD \$106M (<i>per third-party share placements at \$0.075/share</i>)
At AU market launch (Q4/2026, ~6 months)	USD \$105M	USD \$120-180M
Series A 2028 (post-revenue, AU + UK + USA traction)	–	USD \$250-300M pre-money (target)
Y5 Exit (forward – see Forward exit valuation section)	–	USD \$1.85B (Conservative) - \$2.78B (Likely) - \$3.71B (Strong)

Y5 SAFE return profile (per \$1M SAFE today, with realistic Series A→Y5 dilution):

Y5 case	Y5 exit EV	\$1M SAFE proceeds	MoM	IRR (5-yr SAFE-to-exit)
Conservative	\$1.85B	~\$5.15M	5.1×	~39%
Likely	\$2.78B	~\$7.73M	7.7×	~51%
Strong	\$3.71B	~\$10.31M	10.3×	~59%

SAFE conversion math:

The Series A 2028 price determines the SAFE conversion. Investors pay the SAFE amount today, and at Series A:

- They receive shares at **70% of the Series A price** (30% discount), or better per MFN
- Their post-conversion ownership is calculable from cheque size ÷ Series A post-money valuation × (1 / 0.70)
- Side letter grants follow-on / pro-rata rights through Series A and onwards

Internal read: The SAFE defers the pricing conversation to Series A 2028, when traction will support a higher valuation. The 30% discount + uncapped + MFN compensate investors for execution risk between now and Series A. The decreasing-discount mechanic does the work of urgency without adversarial negotiation. **This is a well-structured SAFE for the stage.**

Source: Financial Model · 3-Case Model · EPM product economics · Comparable transactions (research-only ranges; update with primary-source citations before any external use).